First Impressions: RBNZ Monetary Policy Review July 2026

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By Kelly Eckhold & Westpac New Zealand Economics

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The RBNZ unexpectedly raised the OCR to 2.5%. We review some key quotes side by side relative to the May meeting below and provide an initial take on the implications.

The RBNZ has unexpectedly increased the OCR to 2.5%. The decision was reached by consensus. It seems that the balance of the Committee remains similar: Gai, Gourley and Hansen remain hawks while Conway, Breman and Silk remain Doves. There is perhaps a modest shift in the bias of the group regarding the balance of risks for inflation as one hawk (Hansen) sees a balanced inflation outlook now.

The MPC are pointing toward follow on tightening and we still expect an OCR rise at the September Monetary Policy Statement. The MPC seemed concerned that not raising the OCR today would prompt further easing in financial conditions and hence it seems the RBNZ continues to see an end-of-year OCR of 2.75-3% as being reasonable.

A comparison of the RBNZ's updated policy assessment compared to their previous statement is shown in the table below. If the table does not display properly, please click the red 'Read more' button for the desktop version.

We will provide more detail after the press conference.

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RBNZ comparison table July 2026 vs May 2026

Category	May 2026 quotes	July 20
The next policy decision	All Committee members agreed that increasing the OCR at upcoming meetings would likely be necessary to ensure higher near-term inflation does not feed through to higher medium-term inflation. The pace of OCR increases will depend on the relative influence of persistent wage- and price-setting behaviour versus weaker economic activity on medium-term inflation pressures. The Committee remains focussed on bringing medium-term inflation back to target and expect that OCR increases will be required this year.	The Co increase timing is Future C Commit behavio medium Increasi part, to a financia
The medium-term direction for the OCR	On balance, the OCR will most likely need to increase sooner and by more than envisaged in the February Monetary Policy Statement.	With infl expecte monetar inflation

	With inflation pressures increasing in coming months, these members agreed that OCR increases would be required to ensure inflation returns to target over the medium term.	The Cor start rec ensure t medium
The neutral OCR	These members noted the wide range of estimates for the neutral interest rate, making it difficult to assess the extent to which current monetary conditions are accommodative.	The Cor the OCF Howeve uncertai of the ne Prasann shocks interest and rais global s
The strength of economic activity	Domestically, business contacts and surveys indicate weaker confidence and spending. Consumer confidence has fallen sharply, and the housing market remains weak. Near-term economic activity is likely to be weaker than assumed in the February Statement because of the Middle East conflict. These forecasts indicate a slower economic recovery in the near term, with the pace of economic growth increasing by the end of the year.	New Ze before tl in the Ju econom Growth quarter improve The Cor activity Domest the Sep
The global economic outlook	The global economic backdrop remains uncertain. On balance, New Zealand’s trading partners are expected to see weaker growth and higher inflation. The Middle East conflict poses downside risks to global economic activity.	Global g tariffs ar because spendin The Cor had rem 2026, de Consen global ir 2027.

The labour market	The labour market was stabilising, with employment growing modestly and annual wage inflation remaining at 2 percent in the March 2026 quarter. Unemployment remains elevated, indicative of spare capacity in the labour market. Wage pressures could also arise from labour shortages in some sectors and regions.	Over the percent purchas recovery Member househo domesti Inflation help to e growth a
The short-term inflation outlook	The ongoing conflict in the Middle East is weakening economic activity and increasing near-term inflation. First round direct and indirect effects from higher petrochemical prices will increase inflation this year. Annual headline inflation is expected to increase to a peak of 4.3 percent by the September 2026 quarter and to return to the target mid-point in mid-2027.	The fore given th significa Stateme Despite Middle E annual c remain a 3 percen Annual peaked before c 2026 qu
The medium-term inflation outlook	Currently, core inflation, wage growth, and medium- to long-term inflation expectations remain consistent with inflation returning to the 2-percent target mid-point over the medium term. The outlook for medium-term inflation pressures is also uncertain. However, weak demand and elevated unemployment will dampen medium-term inflation pressures.	Althoug of the sh outlook uncertai Spare c firms' ab busines Howeve demand rate cou pressure

The balance of risks for economic growth and inflation	The Committee judges that the balance of risks is to the upside for inflation and to the downside for growth. Members noted that spare capacity in the domestic economy and weaker global demand could constrain firms' ability to pass on higher costs by more than assumed in the central projection. Lower spending by households in response to lower real income growth, persistently elevated unemployment, a weak housing market, and reduced resilience due to repeated shocks collectively pose downside risks to domestic economic activity.	The Cor the upsi In the di assesse while Ar Karen S The Cor downsic inflation monetai
Key arguments advanced by more hawkish MPC members	Three members (Carl Hansen, Hayley Gourley, Prasanna Gai) preferred to increase the OCR by 25 basis points, to 2.5 percent at this meeting. These members emphasised that, given the breadth of critical inputs that have been impacted by the conflict, first round indirect price increases could become more broad-based, feeding through to a greater risk of second round price increases. These members judged that removing stimulus now, while observing domestic economic developments, would help reduce medium-term inflation risks. Moving earlier was viewed as preferable, given upward pressure on neutral rates and that it may also limit the overall magnitude of the increase in the OCR and the negative impact on output.	Prasanr in energ increase flow thro Prasanr Middle E behavio readily t Carl Hai support busines
Key arguments advanced by more dovish MPC members	Three members (Anna Breman, Karen Silk, Paul Conway) judged that holding the OCR at 2.25 percent was appropriate at this meeting. These members emphasised that core inflation and wage growth remain contained and medium- and long-term inflation expectations remain around 2 percent. Indicators of economic activity have deteriorated, in some cases more quickly than anticipated.	Anna Br Karen S Anna Br firms ma to consu engagei on cost Paul Co the reco sectors

Spare capacity in the economy is likely to dampen second-round inflationary pressure.

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